

The Founder's *Finance* Roadmap

What to have in place at every stage of growth — from first dollar to investor-ready.

01

Foundation

PRE-REVENUE → FIRST CUSTOMERS

Build a foundation clean enough that growth never means cleanup.

- Separate business banking & credit
- Entity, EIN & state registrations in order
- Accounting system set up correctly from day one
- Books reconciled monthly — not at tax time
- Runway & burn tracked every month

02

Traction

EARLY REVENUE → \$1M ARR

Know your numbers well enough to trust them.

- Monthly close — done on a schedule
- Payroll & contractor compliance (W-2 vs. 1099)
- Sales tax nexus reviewed as you sell across states
- Deferred revenue tracked, not lumped into income
- Baseline unit economics: gross margin & CAC

03

Growth

\$1M → \$5M ARR

Financials that drive decisions — not just tax returns.

- Move from cash to accrual accounting
- Revenue recognition aligned to ASC 606
- Budget vs. actual reporting, reviewed monthly
- SaaS metrics: NRR, churn, burn multiple, LTV:CAC
- Controller-level oversight & internal controls
- A documented month-end close process

04

Scale

\$5M+ / RAISING CAPITAL

Numbers that stand up to diligence.

- GAAP-compliant financial statements
- Audit-ready support & documentation
- Board-ready monthly reporting package
- Forecasting & scenario modeling
- Data room prepared for due diligence

Wherever you are on the roadmap, you don't have to build the finance function alone.

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Reports & *Metrics* That Matter

The reporting stack — and the benchmarks — that separate managed finances from monitored ones.

The reporting stack

Every company needs the core reports. SaaS companies need the next layer. Funded companies need all of it.

THE CORE REPORTS

Monthly, every business

- P&L — with budget vs. actual
- Balance sheet
- Statement of cash flows
- 13-week cash forecast
- AR & AP aging

THE SAAS LAYER

Monthly, recurring revenue

- MRR / ARR schedule
- Deferred revenue rollforward
- Cohort & retention view
- SaaS metrics dashboard
- Pipeline-to-revenue view

THE BOARD LAYER

Monthly or quarterly, funded

- Board reporting package
- Variance commentary
- Rolling forecast & runway
- KPI summary vs. plan
- Cap table & headcount view

The metrics worth benchmarking

If these aren't on a dashboard somewhere, they're running your business without you.

METRIC	WHAT IT TELLS YOU	HEALTHY TARGET
Gross margin	Whether the product can fund growth	70–80%+
Net revenue retention	Growth from customers you already have	100%+ · best-in-class 110%+
CAC payback period	How fast sales & marketing pays for itself	Under 12–18 months
LTV : CAC	Return on acquiring a customer	3 : 1 or better
Burn multiple	Cash burned per \$1 of net new ARR	Under 2x · elite under 1x
Rule of 40	Balance of growth and profitability	Growth % + margin % ≥ 40
Runway	Months of cash at current burn	12–18+ months

Benchmarks are directional and vary by stage, market, and model — the point is to know yours and watch the trend.

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